

24 Jul 2026 04:58:28 ET | 12 pages

BYD (1211.HK)

Fundamentals vs Fund-Flow Dashboard

CITI'S TAKE

BYD's share price, which historically tracks its fundamentals closely, appeared to have decoupled from underlying fundamentals between April and late June 2026 — driven, in our view, by AI-driven fund flow disruptions, tariff-related sentiment noise, and soft China domestic NEV demand. To objectively measure fundamentals momentum independent of market noise, we have developed a 'BYD Weighted-Fundamental Index', assigning weights of 40%/25%/20%/10%/5% to BYD export MoM movements/orders/domestic market share/sector NEV YoY trend/inventory levels, where a positive reading (>0) signals improving fundamentals and is historically constructive for share price appreciation (Mar-2026 as shown in Figure 1). Despite the index remaining consistently positive throughout April-June 2026, BYD's share price declined — an anomaly we attribute to AI fund flows working against the stock (Figure 2); and the gap between price and fund flow positioning has been visibly narrowing and appears poised to reverse in July, in our view.

Constructive fundamental view and Buy on BYD: Our Jul-2026 'BYD Weighted-Fundamental Index' stands at +0.07, underpinned by assumed inputs of BYD inventory -3% MoM, BYD export +5% MoM, sector NEV -5% YoY, BYD orders +15% MoM, and BYD wholesales -13% MoM, reinforcing our constructive fundamental view and Buy rating. Looking ahead, we expect sustained export momentum into 3Q26 and a solid [2Q earnings](#) delivery should meaningfully address 2H26 net profit visibility concerns, supporting a gradual re-rating of BYD's FY27 earnings through the market consolidation and export alpha thesis, while less volatile AI fund flow should lighten the overhang on BYD's valuation, and vice versa.

Stock calls:

Defensive LT Buys: Chery, Geely, Minth

High-beta upside swing potential into car sales high season: Leapmotor, Xpeng

2Q & 2H earnings re-rating potential from export: BYD/Weichai/Sinotruk/Yutong

Sells: Seres, Great Wall; Neutral on Li Auto, Sanhua and Tuopu

Further reading: [China Auto Manufacturers - Weichai-Sinotruk Momentum Tracker](#)

Buy

Price (23 Jul 26 16:10)	HK\$88.65
Target price	HK\$142.00
Expected share price return	60.2%
Expected dividend yield	1.7%
Expected total return	61.9%
Market Cap	HK\$808,240M US\$103,076M

Jeff Chung^{AC}

+852-2501-2787
jeff.m.chung@citi.com

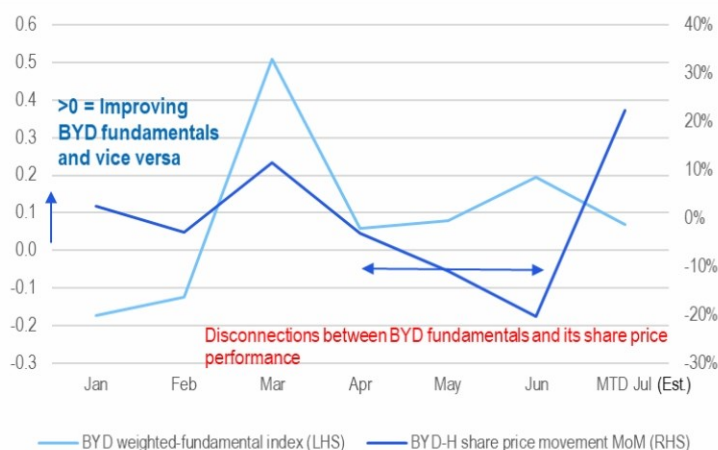
Kyle Wu

+852-2501-8483
kyle.wu@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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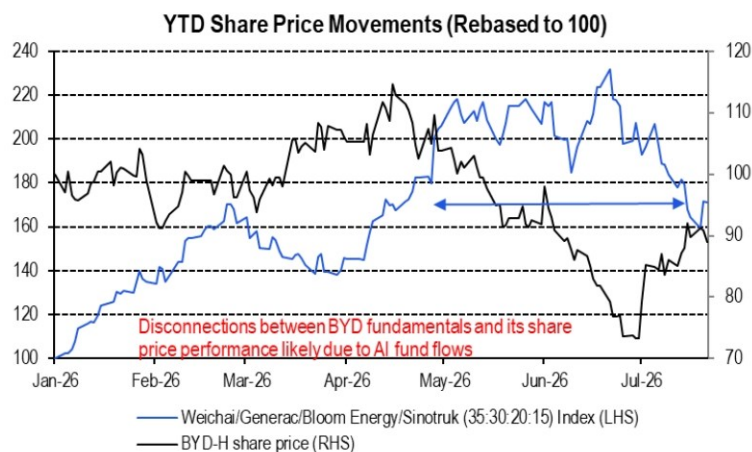
Figure 1. BYD fundamentals and its H share price movements



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Source: Citi Research, Company Reports, CPCA

Figure 2. YTD share price movements of BYD and AIDC/SOFC/HDT players



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Source: Citi Research, Bloomberg

Companies Mentioned:

BYD (1211.HK; HK\$88.65; 1; 24 Jul 26; 16:10)
BYD (002594.SZ; Rmb91.89; 1; 24 Jul 26; 15:00)
Chery (9973.HK; HK\$24.38; 1; 23 Jul 26; 16:10)
Geely Automobile (0175.HK; HK\$19.06; 1; 24 Jul 26; 16:10)
Great Wall Motor (2333.HK; HK\$8.85; 3; 24 Jul 26; 16:10)
Great Wall Motor (601633.SS; Rmb16.12; 3; 24 Jul 26; 15:00)
Leapmotor (9863.HK; HK\$34.64; 1; 23 Jul 26; 16:10)
Li Auto (LI.O; US\$12.37; 2; 23 Jul 26; 16:00)
Li Auto Inc (2015.HK; HK\$47.98; 2; 24 Jul 26; 16:10)
Minth (0425.HK; HK\$27.36; 1; 24 Jul 26; 16:10)
Ningbo Tuopu Group (601689.SS; Rmb45.62; 2; 24 Jul 26; 15:00)

Sanhua (2050.HK; HK\$25.98; 2; 23 Jul 26; 16:10)
Seres Group (601127.SS; Rmb54.33; 3; 24 Jul 26; 15:00)
Seres Group (9927.HK; HK\$43.72; 3; 23 Jul 26; 16:10)
Sinotruk (Hong Kong) (3808.HK; HK\$41.36; 1; 24 Jul 26; 16:10)
Weichai Power (2338.HK; HK\$33.46; 1; 24 Jul 26; 16:10)
XPeng (XPEV.N; US\$12.76; 1; 23 Jul 26; 16:00)
XPeng (9868.HK; HK\$49.48; 1; 24 Jul 26; 16:10)
Yutong Bus (600066.SS; Rmb31.66; 1; 24 Jul 26; 15:00)
Zhejiang Sanhua Intelligent Controls (002050.SZ; Rmb35.05; 2; 24 Jul 26; 15:00)

BYD

Valuation

By applying 1.2x 2026E PEG on a +25% 2026–28E NP CAGR, we derive our TP of HK\$142, implying 30x/25x 2026E/27E PER. We adopt PEG valuation, as we believe it can more accurately reflect the valuation of this growth stock.

Risks

Key downside risks that could prevent the BYD H-share from reaching our target price include: 1) weaker-than-expected NEV bus or PV sales; 2) a slower-than-expected ramp-up of the Skyrail business; 3) another prolonged capex cycle; and 4) unexpected cash flow issues.

BYD

(002594.SZ; Rmb91.89; 1; 24 Jul 26; 15:00)

Valuation

Our target price of Rmb131 is set at 1.2x 26E PEG based on a +25% 2025–27E NP CAGR. Our TP implies 30x/25x 2026E/27E P/Es. We adopt a PEG valuation as we believe it more accurately reflects the potential of a growth stock.

Risks

Downside risks that could prevent the BYD A-share from reaching our target price include 1) weaker-than-expected NEV bus or PV sales, 2) a slower-than-expected ramp-up of the Skyrail business, 3) another prolonged capex cycle, and 4) unexpected cash flow issues.

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Appendix A-1

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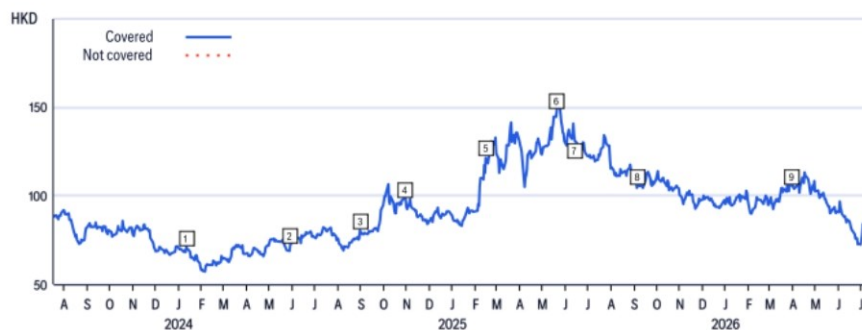
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BYD (1211.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Jeff Chung



Date	Rating	Target Price	Closing Price
1 11-Jan-24 13:28:07	1	*154.33	70.80
2 29-May-24 07:27:17	1	*158.33	72.53
3 01-Sep-24 20:09:08	1	*162.67	80.40

Date	Rating	Target Price	Closing Price
4 30-Oct-24 11:36:39	1	*166.67	98.33
5 14-Feb-25 11:26:49	1	*229.33	121.40
6 20-May-25 14:45:04	1	*242.33	148.20

Date	Rating	Target Price	Closing Price
7 13-Jun-25 00:00:04	1	*233.00	131.10
8 07-Sep-25 20:44:21	1	*174.00	105.60
9 30-Mar-26 12:12:39	1	*142.00	105.80

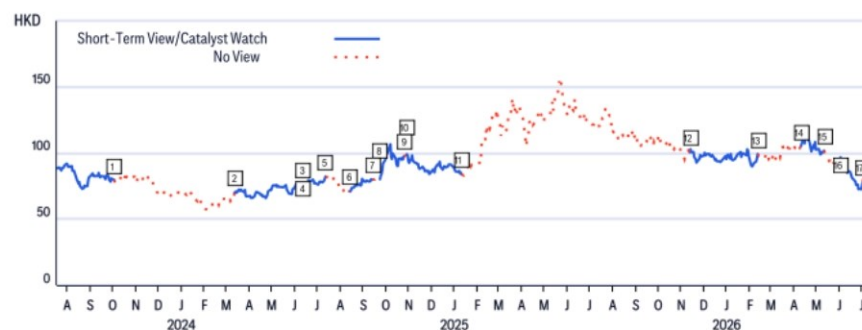
*Indicates Change

Rating/target price changes above reflect Eastern Time

BYD (1211.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jeff Chung



Date	Action	Expected Direction	Duration	Closing Price
1 03-Oct-23 00:16:29	Remove CW	Upside	90 Days	79.53
2 12-Mar-24 15:43:32	Add CW	Upside	90 Days	69.87
3 11-Jun-24 00:18:43	Remove CW	Upside	90 Days	76.13
4 12-Jun-24 06:02:24	Add CW	Upside	30 Days	73.33
5 12-Jul-24 00:12:00	Remove CW	Upside	30 Days	82.20
6 13-Aug-24 21:14:13	Add CW	Upside	30 Days	71.00

Date	Action	Expected Direction	Duration	Closing Price
7 13-Sep-24 14:17:22	Remove CW	Upside	30 Days	79.93
8 23-Sep-24 21:08:42	Add CW	Upside	30 Days	80.13
9 25-Oct-24 00:28:51	Remove CW	Upside	30 Days	97.53
10 28-Oct-24 22:24:43	Add CW	Upside	90 Days	98.20
11 12-Jan-25 22:48:43	Remove CW	Upside	90 Days	83.80
12 12-Nov-25 21:56:41	Add CW	Upside	90 Days	100.50

Date	Action	Expected Direction	Duration	Closing Price
13 11-Feb-26 22:14:43	Remove CW	Upside	90 Days	99.15
14 10-Apr-26 04:39:55	Add CW	Upside	30 Days	105.10
15 11-May-26 00:13:29	Remove CW	Upside	30 Days	101.70
16 01-Jun-26 07:20:22	Add CW	Upside	30 Days	90.75
17 02-Jul-26 00:35:24	Remove CW	Upside	30 Days	78.30

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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